

Issues management



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Learning outcomes

By the end of this chapter you should be able to:

- define and describe the concept and models of issues management
- recognise the value of communication to issues management
- understand why there has been a shift in issues management from public to social issues
- apply the models of issues management to actual issues management cases
- understand the effects of digital channels and reputation management on issues management.

Structure

- Origins and essence of issues management
- Models of issues management
- Expanding issues management beyond public policy
- The big picture for issues management

Introduction

Many people have heard of blood or conflict diamonds but far fewer people know about conflict minerals. Just as diamonds can be mined through forced labour or profits used to fund violent armed conflict, the same can hold true for tin, tungsten, tantalum and gold. Taken together, these are conflict minerals. Various non-governmental groups (NGOs), have been trying to raise awareness of these types of activities and to get corporations and government to take action on various conflict minerals for over a decade (Coombs and Holladay 2010). In January 2021, the

new EU Conflict Minerals Regulations will go into effect. Imports of the four minerals along with smelters and refiners must document the supply chain of these minerals to demonstrate they have been sourced responsibly. This will include creating annual reports to document due diligence in the supply chain and to provide third-party audits of supply chain due diligence (European Commission 2017). The goal is to force suppliers of the minerals to be responsible if those organisations want to conduct business with firms in the EU. The process is similar to the way blood

diamonds have been pushed from the marketplace through the certification of the Kimberly process.

The conflict mineral regulation in the EU is an example of issues management. Attention was drawn to the problem and action was taken intended to reduce the negative effects of the issue on society. Issues management is primarily a strategic communication function. This chapter explains the origins of issues management, the two dominant models of issues management, and the evolution of issues management to move beyond policy decisions.

Origins and essence

The 1950s was a great time to be in the corporate world because back then people loved businesses. From this golden age there has been a steady decline in how people perceive corporations – corporate reputations have fallen precipitously. The Edelman Trust Barometer (2019) has documented more recent concerns about corporate reputations but the slide in stakeholder perceptions was very noticeable even in the 1960s and 1970s. The 1960s and 1970s were interesting times for corporations. It was during this time period that environmentalists got their voices heard and realised significant gains in advancing policy changes related to corporate pollution. Activists effectively argued that corporations were the source of pollution. The vilification of corporations as polluters allowed activists to win a number of regulatory and legislative efforts designed to reduce pollution. These policy changes proved very expensive for the corporations (Conley 2006). Though no name was attached to it at the time, the environmental activists were creating issues management. In 2019, the global study of trust in corporations in the Edelman Trust Barometer found trust in business had increased in 21 of the 26 countries they surveyed. The average level of trust in business was now 56 per cent. In 2019, trust in the UK has rose to 47 per cent while it had risen to 47 per cent in Germany, 48 per cent in Argentina, 44 per cent in Japan, and 56 per cent in Canada (Edelman

2019). While rising, trust in corporations is relatively low globally.

Howard Chase is the name most closely associated with the emergence of issues management. Chase was a corporate public relations person who coined the term ‘issue management’ in 1976 and developed the first issue management model in 1977. (Though it began life as ‘issue management’ the concept is more commonly referred to as ‘issues management’, hence, this chapter adopts the latter terminology.) Chase (1984) conceptualised issues management as a reaction to the corporate failures to prevent environmental and other regulatory changes in the 1960s and 1970s – it was a response to activist success. What Chase does not acknowledge is that issues management co-opted many of the strategies and tactics the environmental activists used to win those regulatory battles (Conley 2006; Coombs and Holladay 2010).

The origins of issues management are inextricably linked to policy making. For Chase, the essence of issues management was participation in the policy-making process (Chase 1984). By participating in the public policy-making process, corporations could influence the outcomes of policy decisions such as the creation of regulations that could affect corporate practices and profitability. Chase (1984) viewed issues management as an important shift away from the ‘defensive skill’ of portraying a ‘company in the best possible light’ to a more proactive stance through involvement in policy making (p. 8).

There is a similar emphasis on issues management and policy making from the academic side as well. Robert Heath (1988), an academic pioneer in issues management, observed, 'As a countermeasure to unwarranted regulation, the growth of issues management is recognition that the private sector does not have to be held hostage by dramatic public policy changes that can harm the bottom line' (p. 3). Heath's comments reflect what he felt was a need for corporations to adapt to their new and more demanding policy environment. In short, issues management arises because corporations are repeatedly losing policy-making battles with activists. Issues management provides a framework to allow corporations to become more proactively and hopefully more successfully engaged in policy decisions such as environmental regulatory decisions. Heath (1997) defined issues management as 'the management of organizational and community resources through the public policy process to advance organizational interest and rights by striking a mutual balance with those of stakeholders' (p. 9). Originally, issues management can be conceptualised as communicative efforts intended to influence policy decisions. Issues management was intended to be a communicative means of trying to create a more favourable operating environment for an organisation by anticipating and attempting to systematically influence policy decisions.

It is important to realise that there were forces in business and academia that resisted the idea of issues management. A key point was whether or not issues management was unique or simply old public relations ideas given a new label. Much of the early published articles about issues management involved justifications for its practice. Researchers argued that issues management was not a fad and that it did constitute a unique perspective for strategic communication. These arguments were successful in helping to establish issues management as a unique sub-field within public relations and strategic communication (Botan and Taylor 2004).

As this chapter will demonstrate, issues management has shifted away from its narrow focus on policy making. However, it retains its proactive nature and influence on decisions that shape corporate behaviour. The shift away from just the policy-making arena reflects a larger society shift in how activists seek to influence corporate behaviour. Activists are increasingly seeking to have a direct influence on corporate decisions rather than an indirect influence through policy decisions.

Models of issues management

It is very abstract to say issues management is about employing communication to systematically influence public policy decisions. Lobbying and advocacy advertising could all fall under this rubric. We can clarify the conceptualisation of issues management by examining the two dominant models in the field: (1) Chase and Jones and (2) issue catalyst. Exploring each model will give a greater sense of what issues management is and how it is practiced.

Definition: 'Issue or issues?' 'Issue management' is sometimes referred to as 'issues management'. Asked about this question, Howard Chase, the 'father' of the discipline, is reported to have said it should always be 'issue management', not 'issues management', for the same reason that it is 'brain surgery', not 'brains surgery'.

Think about 16.1

Communicating risk and science

Many high-profile issues revolve around risk, science and technology. Competing parties involved in the issue may interpret risk in very different ways and may disagree completely about what is presented as an indisputable 'fact'. A good example would be whether mobile phone towers affect the health of the nearby community. Think about the factors that make science-based issues more difficult to manage. Why do scientists and experts sometimes find it hard to communicate and persuade? Why do experts and non-experts often reach different conclusions about risk?

Feedback

Scientists and other experts are usually trained to focus on facts and data that can be proven. Their training encourages them to find the 'right answer'. But many issues also involve emotions and opinions, and many risks are judged by concepts such as degree of control, trust, dread, fairness, familiarity and whether it is voluntary or enforced. Organisations should never ignore or misrepresent the facts, but they must recognise that many issues cannot be resolved by facts alone.

Think about 16.2

Confrontation or negotiation?

Think about the issues or situations where a confrontational strategy might be appropriate. How do those issues or situations differ from when negotiation may be best?

Imagine yourself as a senior executive of a 'target' organisation facing a significant issue. Would you prefer to face a high-profile assault, which you might be able to dismiss as a one-off stunt, or would you rather commit time and resources to prolonged negotiation that might require you to compromise your position on the issue?

Feedback

In dealing with an issue, choosing confrontation or negotiation is not necessarily right or wrong, but just different. Activists who prefer confrontation sometimes claim that negotiators are 'getting into bed with the enemy', while groups who prefer to negotiate may say the direct action people are only interested in headlines, and that stunts 'trivialise' the issue. These are two very different roles, and they enable big corporates and big government to divide and conquer, or pick and choose who they deal with. Either course of action could lead to a quick or easy resolution to the issue but it may not always be the best outcome.

The Chase and Jones model

When Howard Chase created the field of issues management, he offered a model for its practice. That model has been a significant influence on the field ever since its articulation. Though a focal piece in his book *Issue Management: Origins of the Future*, the model was first published as Chase and Jones in a 1979 journal article in *Public Relations Review* co-authored by Jones and Chase. The journal article became the seminal work for public relations scholars; hence, the model is predominantly known as the Chase and Jones model. Chase (1984) refers to it as a process model of issue management. The Chase and Jones model unfolds in five steps: (1) issue identification; (2) issue analysis; (3) issue change strategy options; (4) issue action programming; and (5) evaluation of results. You will note that the model reflects the general strategic communication model of research, action, communication and evaluation. Any process model of strategic communication will contain those elements. The Chase and Jones model adapts the ideas of strategic communication to policy making.

For Chase (1984), an issue is 'an unsettled matter which is ready for decision' (p. 38). Issue identification

Box 16.1

Chase and Jones model: five steps

1. Issue identification: scan for potential issues.
2. Issue analysis: analyse relevant issues.
3. Issue change strategy options: select your strategy for addressing the issue.
4. Issue action: create and implement your communication effort.
5. Evaluation of results: assess the effectiveness of the issues management effort.

is about finding issues before they emerge. Qualitative and quantitative research methods are used to identify trends, the visible changes that emerge prior to the arrival of an issue. Chase refers to these as futurists methodologies – ways of trying to predict or project the future. The goal of the issue identification stage is to locate emerging issues and create an initial prioritisation of those issues. Managers do not have the time or resources to manage every issue. Therefore, emerging issues must be prioritised. The most promising issues are moved to the issue analysis step.

The issue analysis stage involves thoroughly researching the emerging issues. Existing data about the issue is collected and evaluated. This past information provides important contextual information about the issue by locating the origins of the issue. By tracking the issue since its origin, managers can understand how it has developed and how it might progress in the future. For instance, it is helpful to know who is involved with the issue and why they are interested in the issue. Next, the managers assess the current situation for the emerging issue. Two important resources are the views of opinion leaders and media coverage of the issue. Both of these data sources can indicate if an issue is rising or falling in importance. For example, if opinion leaders and the media are 'talking about' the issue, it is rising in importance. The goal of the issue analysis phase is thorough research of the issue that allows managers to create a final prioritisation of the issues. Based upon that research, managers decide how to respond to the issues.

The issue change strategy option stage is when managers decide what course of action to take on each issue. Managers determine if the issue is a threat or an opportunity and how much time and effort to devote to the issue. Chase identifies three change strategies:

(1) reactive; (2) adaptive; and (3) dynamic. The change strategies are not mutually exclusive and which is the best option will vary by the nature of the issue. In other words, no one change strategy is always superior or preferable to the others. It is during this step that the term policy option becomes relevant. A policy option is one potential solution or means of resolving an issue.

The reactive change strategy is the choice to do nothing. Managers decide not to make any changes or attempt to influence the issue. While passive, the reactive change strategy recognises the importance of the issue and that the issue might affect the organisation in the future. Chase refers to this as stonewalling an issue and he warns that the reactive change strategy can make an organisation a victim of the change. Still, there may be times when the organisation either lacks the resources to take action or realises no matter what the organisation does, the issue will progress along a predetermined path – the existing policy option will become the actual policy. At least the organisation is aware of coming challenges.

Mini case study 16.1

When social media helped win the 'bra war'

British woman Beckie Williams was no hardened activist. But she got really angry in mid-2008 when the clothing chain Marks and Spencer introduced a £2 surcharge for larger women's bras. She wrote to complain but got an unsatisfactory reply, and received no reply at all when she wrote again. So Ms Williams launched a Facebook page, 'Busts4Justice', to raise awareness of what she portrayed as discriminatory pricing. Within weeks the Facebook page had over 5,000 followers, while the company argued publicly that larger bras needed more material and 'additional engineering'. The Facebook followers increased to over 18,000 and the issue gained massive internet support and mainstream media coverage around the world. Ms Williams then purchased one M&S share and vowed to take the issue to the company AGM in July 2009. The company still persisted it was 'impossible for us to reduce price without cutting quality'. But they had completely misjudged the situation and misread their customers. Two days later M&S Chairman Stuart Rose said they had got it wrong and he announced an immediate withdrawal of the surcharge. The so-called 'bra war' ended in victory for the protesters and failure by M&S to manage what should have been a straightforward issue.

The adaptive change strategy does take action and reflects efforts to change. While the policy options have already begun to take shape, alternatives are offered before a policy decision is made. Managers provide and promote an alternative policy option that is friendly to the organisation. Chase uses the example of a proposed bottle bill in the US state of Virginia to address litter concerns. A bottle bill requires a deposit on all beverage bottles and reduces litter by providing people with an incentive for returning the bottles for the deposit. Beverage wholesalers dislike bottle bills because the measure complicates their operations. In one case, the beverage wholesalers proposed an alternative in the form of a roadside litter campaign that included more rubbish or trash cans. By promoting the roadside litter option, the beverage wholesalers prevented the passage of the less attractive (to them) bottle bill in Virginia.

The dynamic change strategy is truly proactive because it seeks to shape the policy options from the very start. The managers find the emerging issue then create the first policy option to be considered. The managers take control of the issue by being the ones to define what the issue is and the best way to resolve it – their policy option. In the US state of California, beverage wholesalers recognised that bottle bills were appearing in other states. They introduced a policy proposal involving litter education and anti-litter laws thereby avoiding any discussion of bottle bills. The managers used the dynamic strategy to set the parameters for the debate over the issue.

Chase felt that the decision on the change strategy option was dependent on five factors: (1) the risk created by the emerging issue; (2) the confidence managers had in their information; (3) perceived accuracy of the managers' projections; (4) the likelihood the issue will go away on its own; and (5) general direction of elements related to the issue. Two of the factors are related to managers' confidence in their own research and data collection (points 2 and 3). The other three factors are based on indicators of how likely the issue is to develop further points (4 and 5) and the effect the issue could have on the organisation (point 1). Issues management is not a precise science as each of the five factors involves subjective assessments made by managers. The goal of the issue change strategy step is a decision on how to address the issues identified in the issue analysis step.

The issue action programme step is essentially a strategic communication campaign. The managers pursue the issue change option by creating a goal, determining an objective, developing the communication strategy, assigning the necessary resources, and then developing and executing the actual messages for the communicative effort. Chase does not provide much detail about each of the elements of the issue action programme,

Explore 16.1

Critics of issue management

The modern development of issue management has seen the emergence of some outspoken critics, including some who believe it is a cloak for 'corporate spin' and gives an unfair or improper advantage to big business. These critics, from academia or journalism, include Dinan and Miller (2007), Miller and Dinan (2008), Lubbers (2002), Beder (2002, 2006) and the classic book by Stauber and Rampton (1995), *Toxic Sludge is Good For You: Lies, damn lies and the public relations industry*. What are their main criticisms? Are they mainly concerned about issue management itself or about the way it is used or misused?

a point we will return to shortly. The managers then move to the final step, evaluation of the results. Managers compare the desired outcome of the policy decision to the actually policy decision.

As a process model, the Chase and Jones Model (Jones and Chase 1979) is more about what to do and not as much about how to do it. The model shows a strong influence from systems theory. This is not a criticism of the model but simply a recognition of its limits in terms of strategic communication. There is little detail about how communication is actually used to manage an issue. The issue catalyst model seeks to fill the limited discussion of strategic communication's role in issues management.

Box 16.2

Where do issues come from?

One of the commonest questions in issue management is: 'Where do issues come from and how do you recognise them?' Simply maintaining a very close watch on news and current affairs is the obvious answer. As the American issue expert George McGrath (1998: 74) said: 'For most organizations, key issues will be found from reading headlines rather than tea leaves.' But there are many other sources that are obvious but are often overlooked, including:

- industry and political conferences;
- trade publications;
- industry association meetings and newsletters;
- client and customer surveys;
- industry and business allies;
- websites and information from organisations that oppose you;
- analysis by experts;
- feedback from your own staff who deal with external people.

Most of these sources are inexpensive, yet can yield priceless intelligence.



Picture 16.1 Global warming is the emblematic issue of the twenty-first century, with organisations at every level, from global to local, relying on issue management to stake out the position (source: Vadim Petrakov/Shutterstock)

Issue catalyst model

In 1985, Crable and Vibbert argued that the Chase and Jones model was limited in being proactive because the model waited for an issue to begin to emerge. They posited that issues managers could be even more proactive by being the ones to create the issue rather simply waiting for a trend to appear. They argued that issues arise when people attach significance to a situation. Issues can be created and do not have to emerge from trends. When the Corn Refiners Association sought to rebrand high fructose corn syrup (HFCS) as corn sugar to escape the stigma of being linked to obesity, the Sugar Association created an issue by demanding the new name be dropped. Eventually the US government agreed with the Sugar Association when the Food and Drug Administration ruled against the term corn sugar. Moreover, their model emphasised the role communication played throughout the issues management process.

Originally called the catalytic model, one of the original authors has since posited that the name issue catalyst better captures the fundamental idea behind the model. Managers can become issue catalysts by being the ones pushing for the creation and redress of the issue. The issue catalyst model has five stages: (1) potential; (2) imminent; (3) current; (4) critical; and (5) dormant (Crable and Vibbert 1985). The stages denote different saliences of issues. The issues increase in salience from the potential to the critical stage that then drops with the dormant stage. A close look at each stage will help to illustrate the way salience, stakeholder support and communication function within the model. A running example of the Alar case in the US

will be used to illustrate the various stages in the issue catalyst model.

The *potential* stage is when someone or some group creates an issue by identifying a situation as important/a problem. The key communicative aspect of the potential stage is definition. Defining the issue gives issue managers some element of control (Crable and Vibbert 1985). The definition sets the parameters for the issue and helps to attract others to the issue (Dionisopolous and Crable 1988). The issue definition should be carefully constructed to help provide a successful foundation for the issues management effort. In 1989, a group called the National Resource Defense Council (NRDC) defined daminozide as a carcinogen and created the Alar issue. Alar is the brand name of a product produced by Uniroyal to allow fruit to ripen longer and was heavily used in the apple industry. Alar was the primary source of exposure to daminizide for children. Researchers found that when heated, daminozide could become a carcinogen. Alar became defined as a cancer threat to children because of the possibility daminozide could make apple sauce a cancer risk for children.

The *imminent* stage is when more stakeholders begin to accept the issue's potential. The number of people connected to the issue begins to expand. Endorsements from prominent people can help to promote an issue to the imminent stage. The key communicative aspect of the imminent stage is legitimacy (Crable and Vibbert 1985). Issue managers must convince other stakeholders that the issue is an appropriate public concern – is legitimate. Legitimacy helps to attract people to the issue and to build interest in the issue. The NRDC used a number of scientists and their research data to create legitimacy for the Alar issue. People were willing to accept that a potential cancer risk for children was something worth their attention and the issue began to spread.

The *current* stage occurs when a wide range of people are interested in the issue. The number of people interested in the issue has expanded rapidly. The current stage typically demands that the traditional and/or social media discuss the issue. The media coverage raises the salience of the issue due to the agenda-setting effect. The issue managers engage in 'agenda-stimulation' by trying to set the agenda for other stakeholders (Crable and Vibbert 1985: 10). Along with a wide audience, the current stage is marked by the emergence of policy options for addressing the issue. If an issue is a problem, the policy option is the answer. The key communicative aspect of the current stage is polarisation. Issue managers need to build support for their preferred policy option/resolution to the issue. Polarisation forces people to take sides (Crable and Vibbert 1985). Ideally issue managers prompt people to support their side by accepting their preferred policy option. Of course not everyone

Box 16.3

Issue catalyst model

The model has five stages:

1. Potential: efforts to define the issue
2. Imminent: efforts to legitimize the issue and increase awareness
3. Current: seek to increase significantly awareness of the issue
4. Critical: try to polarize views of the issue and win support for your side of the issue
5. Dormant: issue is considered resolved

Source: Crable, R.E. and S.L. Vibbert (1985). 'Managing issues and influencing public policy'. Public Relations Review 11: 3–16

will support your position so polarisation can create opposition as well. Moreover, issue managers will find others trying to influence the issue as well. The competition between the various sides in issues management becomes manifest in the current stage.

The NRDC launched a communication campaign to increase awareness of the Alar issue in February of 1989. A key element of the campaign was a segment about Alar on *60 Minutes*, a highly rated evening investigative news show in the US. The *60 Minutes* story quickly pushed Alar to the current stage. At that point, the NRDC argued that Alar should be banned from public use – the policy option was advanced. Apple growers countered that the studies were not conclusive about the link between Alar and cancer. People were being forced to choose a side, either ban Alar or allow its continued use. By defining Alar as a cancer threat to children, the NRDC had a powerful reason to support the Alar ban.

The *critical* stage indicates the time is right for a decision. People feel the need for a decision at this point, thus the issue has its greatest salience. The key communicative resource at the critical stage is identification. Issue managers need to win active support for their preferred policy option. To build support, issue managers build a sense of identification with the preferred policy option – people feel that option best captures their interests and values. Issue managers create messages that indicate how their preferred policy option reflects the identities of potential supporters. The critical stage ends with a policy decision. Keep in mind that decision might be to not take any action on the issue. Once a decision is made, an issue is considered to be in the *dormant* step. People will have lost interest once the decision is made. However, issue managers can try to restart the issue management process at any point through attempts to revive the salience of the issue (Crable and Vibbert 1985).

The NRDC kept pushing people on the cancer risk of Alar to win support for their ban on Alar. Public opinion polls and the letters to the Food and Drug Administration (FDA), the US agency responsible for food safety, overwhelmingly supported an Alar ban. Apple sales were falling as people feared for the safety of the fruit. There was pressure for the government to act even though the scientific evidence was unclear. In June of 1989, Uniroyal agreed to stop producing Alar. In November of 1989, the EPA banned Alar even though the ban announcement acknowledged the scientific evidence was vague while recognising the public concern about the product. The FDA decision moved the Alar issue to the dormant stage. There was no longer a need to discuss the Alar issue because it was removed from the market.

The issue catalyst model is about the salience of an issue and the number of people interested in the issue,

two closely interrelated concepts. The movement from potential to current stages is a progression in both salience and the number of stakeholders involved with the issue. The critical step is when the issue is most salient. Issues do not automatically move from one stage to the next. An issue can fail by stagnating at any stage. The communicative skill of the issue manager is a key driver in moving an issue through the stages of the issue catalyst model towards a policy decision.

Expanding issues management beyond public policy

Although issues management is still applicable to policy decisions, there has been an expansion of the concept to include organisational decision making (e.g. Botan and Taylor 2004; Grunig and Repper 1992; Heath 2005; Jaques 2006). Robert Heath, a leading expert in issues management, documents this shift with his 2005 definition of issues management: ‘a management philosophy and multidisciplinary set of strategic functions used to reduce friction and increase harmony between organizations and their stakeholders’ (Heath 2005: 495). The basic elements of issues management found in the models of issues management have been applied by stakeholders in attempts to influence directly the policies and practices of organisations – to influence organisational decision making. This shift from the public to the private policy-making domains has been termed private politics by those in political science (Baron 2003). Unfortunately, the term private politics is confusing for those in public relations and strategic communication because it suggests matters managed in private versus a public discussion.

Coombs and Holladay (2018) propose the term social issues management to capture the new social issues focus emerging in issues management. Social issues management refers to efforts by firms to promote specific orientations toward social issues. Social issues management is a larger framework that would include more tactical elements such as (1) values advocacy, connect firms to positive values by praising those values (Bostdorff and Vibbert 1994); (2) organisational epideictic, take stands on controversial issues (Bigam et al. 2006), and (3) corporate social advocacy, take stands on social issues outside of the firms’ CSR efforts (Dodd and Supa 2015). The key is the shift in decision making from the government to the firms. Actors seek to shape organisational behaviours by directly confronting the problematic organisational behaviour. See Mini case study 16.2.



Picture 16.2 High-profile demonstrations or media stunts to generate awareness are a standard element of many issues management strategies such as these Extinction Rebellion protestors in Madrid (source: Marcos del Mazo/LightRocket/Getty Images)

Mini case study 16.2

Green America

Green America was concerned that Hershey's, one of the top chocolate users in the world, was not disclosing what percentage of its cocoa supply came from countries known to allow child slave labour on cocoa plantations. Green American has used a variety of communicative efforts to force Hershey's to address the

issue publicly. Green America was utilising the issue catalyst model in its social issues management effort. The non-disclosure of cocoa suppliers was defined as unacceptable and the issue was legitimised by the general global disdain for child slave labour. Green America used various internet channels and direct actions to gain wider attention for the issue (current stage) and force people to choose sides on the issue (critical stage). After three years of pushing the issue, Hershey's finally began to address the role of child slave labour in its supply chain (Coombs 2014).

Social issues management is a reversal of the business case for issues management and returns the concept to its activist roots. Managers do not apply pressure on their own or other organisations to change behaviours/influence decisions. External stakeholders are the actors most likely to initiate social issues management and seek to influence organisational decisions from the outside. Greenpeace is an excellent example of how external stakeholders engage in social issues management. Greenpeace locates a problematic corporate behaviour, conducts research and then engages in an issues management campaign that uses communication to increase issue salience and awareness. Case study 16.1 illustrates Greenpeace's use of the Issue Catalyst model.

Coombs and Holladay (2018) argue that social issues management requires an adaptation of the Issue Catalyst model that is reflective of the new digital environment.

Their adaptation centres on collapsing the current and critical stages into one new stage called awareness. Awareness is premised on mobilising information and digital platforms rather than a reliance on traditional news media to spread information. Mobilising information allows people to take actions on their beliefs. For instance, telling people the time and location of a rally or how to contact managers of a firm digitally are examples of mobilising information. Issue managers now can take their messages directly to potential supporters instead of relying entirely upon the traditional news media to share information about the issue.

During the awareness stage, there is pressure on the firm to act on the issue. Managers of the firm will choose to either engage with the social issue or decline involvement. The managerial decisions are driven by assessments of stakeholder support and quiescence. Managers will engage in a social issue if they believe

Case study 16.1

Greenpeace, H&M and Detox

July of 2011 marked the beginning of Greenpeace's efforts to remove a select group of highly toxic chemicals from the fashion and garment industries. The campaign is known as Detox because Greenpeace wants corporations to detox their supply chains. The toxic chemicals are a danger to workers, people living near where the chemicals are used, and even the people wearing the clothes, especially children. Greenpeace worked with scientists to document the existence of these chemicals in the textile and garment industries and began the campaign by asking the top 13 firms in the garment industry to replace the specified toxic chemicals in the supply chain. The non-toxic alternatives are similar in price and sometimes even less expensive than the toxic chemicals. All of the 13 firms declined to detox, hence Greenpeace launched the public version of the Detox campaign which can be defined as a form of issues management. The crux of Detox is shaming firms by revealing how irresponsible the firms are by allowing harmful, toxic chemicals in their supply chains. Detox attempts to leverage organisational change by threatening reputations via perceptions of corporate social responsibility.

Within the first year, Puma, Nike, Adidas, Li Ning, Lacoste and H&M (six of the original 13 firms) all agreed to detox. The H&M case illustrates the way Greenpeace uses communication to create power to raise the salience of the detox issue for managers. H&M is a global brand that is proud of its CSR efforts. Detox posed a threat to the CSR component of H&M identity and reputation. Here is a sample Detox statement about H&M: 'There's a skeleton in H&M's closet. The fast-fashion

retailer sells clothes made with chemicals which cause hazardous water pollution around the world, and the only way to stop this water pollution is to come clean and stop using such chemicals for good. As one of the largest clothing groups in the world, an H&M committed to a toxic-free future would set the trend for the rest of the fashion industry to follow' ('Will', 2011, para 1). H&M was acting irresponsibly in terms of toxins in the supply chain.

To increase the pressure on H&M management, Greenpeace used a mix of direct action (in-person) and social media messages. For direct action, Greenpeace representatives placed static stickers on the windows of H&M stores in 12 countries. The stickers had slogans such as 'Detox our Future' and 'Detox our Water'. The direct action sought to raise awareness of the issue among H&M consumers by placing the message in the stores and generating both traditional and digital media coverage of the actions. H&M has an active Facebook and Twitter account the firm uses to engage customers. As part of the Detox campaign, Greenpeace initiated a petition on Twitter about H&M and Detox. The petition collected 635,000 Twitter users and was re-tweeted over 1,200 times. Greenpeace also began posting questions to the H&M Facebook page and placing comments about Detox on the page. According to Greenpeace, the messages were designed to have people question H&M's 'reputation as a sustainability leader' (Clickers 2011, para 7).

Shortly after the Greenpeace emphasis on H&M, the firm agreed to Detox. Here is part of H&M's announcement: 'Greenpeace International is calling for zero discharge of all hazardous chemicals in the global textile supply chain. H&M shares this goal with Greenpeace; since 1995 H&M has been working practically to reduce the use and impact of hazardous chemicals using an approach based on the Precautionary Principle' ('H&M' 2011, para 1).

Think about 16.3

Visit the timeline for the Detox page for Greenpeace, the link is provided below. Review the timeline for the Detox effort. What do the past victories and length of time of the Detox issues management mean for fashion organisations that have yet to be part of this issues management effort? Can you explain the order in which Greenpeace has targeted the various fashion organisations? (Greenpeace)

Feedback

An argument can be made that organisations that make the first change in an industry can become a leader on that issue in the industry. In turn, that leadership can become a reputational asset. What does that mean for an organisation that is an initial target in social issue management effort like Detox?

Explore 16.2

Issues management in the digital age

Stakeholders frequently seek to engage organisations in change through digital channels. Organisations can learn about recent or possible issues management directed against them by visiting activist websites. Visit the Center for International Environmental Law (CIEL) blog post about nanoparticles in baby formula. There also is a link you can follow to a report on the topic by Friends of the Earth (FoE). Given that issues are often extended to other organisations in an industry, create a list of the organisations that might become a part of this issue management effort.

Explore 16.3

Issues management, especially those targeting organisational decisions, are frequently transnational. Visit the Greenpeace website. Select the 'What we do' tab and review one of the issues listed there. How has Greenpeace (1) defined the issue and (2) sought to build legitimacy for the issue? See if you can find a connection between the definition of the issue and the policy option being advocated by Greenpeace.

the social issue will win support among its stakeholders or promote quiescence by reassuring critics that the proper actions are being taken (Coombs and Holladay 2018). The next section elaborates on the idea of quiescence by unpacking why a social issue becomes a threat that requires efforts to reassure angry stakeholders.

An important point to consider is why the shift to social issues management. Some experts feel the shift is a result of resources. It is less expensive to engage in social issues management than in traditional issues management. Low-cost internet (digital) channels can be combined with select direct actions, such as those in the Detox case study (16.1), to create pressure for corporations to change and are less expensive and time consuming than efforts requiring traditional media attention and the public pressure necessary to influence policy decisions. The various social media channels such as blogs, micro-blogs and social networking is necessary but not sufficient to account for the popularity of social issues management. We need to look more closely at the two factors that are necessary and sufficient for social issues management to succeed: (1) a leverage point and (2) a means of leverage.

For social issues management to force firms to engage with social issues, stakeholders need some leverage points – ways to make the issue salient to the firm. If there is no salience or pressure on the firm, managers can simply ignore the external efforts to influence internal decisions. Reputation has provided the leverage point for social issues management. Managers are keenly aware of the benefits a favourable reputation can generate for a corporation (Alsop 2004; Davies et al. 2003; Fombrun and van Riel 2004). Managers spend millions of dollars cultivating and protecting favourable reputations. In short, reputation is a highly valued corporate asset. Moreover, corporate social responsibility increasingly is a significant component of corporate reputation, accounting for over 40 per cent of a corporation's reputation (Fombrun 2005). Reputation and CSR are the leverage points that make social issues management a viable option for external stakeholders. If external stakeholders can threaten to damage perceptions of CSR or reputation, leverage points exist to give salience to their issue. Essentially making other stakeholders aware of the issue can damage the corporate reputation and/or make the corporation appear irresponsible (Jones et al. 2009; Tench et al. 2012). Case study 16.1 illustrates this point. If other stakeholders become aware of the societal damage inflicted by the harmful chemicals in textile production, the CSR and reputation of the corporations using those chemicals in their supply chains is damaged. For the issue to be a threat, it must have legitimacy. If other stakeholders are unlikely to see the issue as relevant to themselves and society as a whole, managers can easily ignore the issue (Coombs and Holladay 2012).

External stakeholders have long depended on the threat of reputational damage as a source of power for influencing corporate decision making. Boycotts, for instance, work by generating negative publicity more so than through the loss of financial resources (King 2011; McDonnell and King 2013). Internet channels, including social media, are recognised as reputational concerns by corporate managers (McCorkindale and DiStaso 2015). The digital channels provide a means of leveraging corporate reputations and perceptions of CSR thereby creating power for the external stakeholders (Tench and Jones 2015). It is too simplistic to equate the digital channels' power with the effect on corporate decision making. The various digital channels provide an opportunity to cultivate stakeholder power (Coombs and Holladay 2012a). The external stakeholders must skilfully combine the channels with their communication strategies to put pressure on the corporations. Again, note how in the Detox case Greenpeace used online channels and direct action to pressure H&M to detox.

The value of digital channels as leverage is enhanced by the growth of digital naturals. Young and Åkerström (2015) coined the phrase digital naturals to denote how people of any age can be comfortable, to varying degrees, working within the digital environment. The digital naturals possess the skills to use digital channels and are comfortable using those channels. Consider how omnipresent mobile phones have become and how so many people use them to connect with the internet, making the phones an extension of their own bodies. Digital naturals add value to digital channels. Issue managers now have the skill and desire to use the digital channels to leverage corporations and there is an ever increasing number of digital naturals who can serve as a receptive audience for these digital issues management efforts (Coombs and Holladay 2016). In combination, the value of corporate reputations (a leverage point) and the potential of digital channels (means of leverage) are necessary and sufficient for the growing reliance on social issues management. However, simply engaging in social issues management is no guarantee of success for issue managers. Managers still can choose to ignore or to combat social issues management efforts. We can explore the dynamic of corporate resistance by examining how the issue catalyst and Chase and Jones models can intersect with social issues management.

The issue catalyst approach in social issues management is predominantly a tool for external stakeholders. As noted earlier, corporations are unlikely to seek to influence directly the decisions of other corporations via public politics. Once external stakeholders have initiated a social issues management effort to create change, corporate managers must decide how to respond to the potential threat. The Chase and Jones model is ideal for guiding the response to the social issues management actions. Corporate managers research the situation to determine the extent of the threat posed by the social issues management effort. This research should include an evaluation of what the proposed changes would mean for the organisation. Managers must consider at least four points: (1) determine if the corporation could benefit from the changes; (2) project how significantly the corporation could be harmed if no change is made; (3) determine the cost of the change; and (4) assess if the changes are consistent with core corporate strategy (Coombs and Holladay 2015). The managers can then decide which issue change strategy option to select. Managers may decide to do nothing (reactive), counter-argue that current practices are acceptable (reactive), or make the desired changes (dynamic). Issues always have competing sides, hence managers will have options for how they choose to respond to any issue management effort.

Box 16.4

COVID-19 as issues management

As you think about issues management, consider the importance of timing. In issues management, the earlier you are involved with the issue the better position you are in as an issue manager. In the issue catalyst model, for instance, early involvement affords the issue managers a greater opportunity to define an issue in a way favourable to their positions on the issues. More generally, early intervention is preferable in issues management. That is why scanning is so critical to issues management. The need for early action is illustrated by COVID-19. Though a public health crisis, it is also a case of issues management because there is a strong link between crises and issues. In this case, the crisis created issues that required attention (Coombs 2019). The COVID-19 pandemic became an issue that multiple governments needed to manage. Countries such as New Zealand identified and took action on the issue early in the outbreak. Others, such as the United States, were much later to take action on the issue – instead choosing to believe the issue was not that important. Early action on the COVID-19 issue saved lives while wasting time and downplaying the issue cost lives. The lesson for issue managers is that the sooner you detect or create an issue, the more likely you are to have the issue resolved in a more favourable manner for all parties involved with the issue.

The big picture for issues management

A long-time concern in issues management has been the undue influence of money. Groups with more money, it has been argued, can create greater influence on policy decisions. That is why experts such as Robert Heath (2005) have argued for responsible issues management by corporations with vast financial reserves. Generally, there is limited evidence to support that issues management has been abused by corporations. Social issues management seeks to even the playing field by allowing issue managers with fewer resources to enter into effective issues management efforts.

Even as financial costs become less of a factor, there are concerns about issues management that must be



Picture 16.3 UK Uncut protested in and around several Starbucks locations in the UK. The protests drew a significant amount of media attention. (source: Prisma by Dukas/Universal Images Group/Getty Images)

Case study 16.2

UK Uncut and Starbucks

In 2010, a network of activist groups formed around the issue of corporate tax avoidance in the UK. UK Uncut relies heavily on direct action designed to stimulate news media coverage of the tax avoidance issue that embarrasses the corporate target. UK Uncut is using corporate reputation as a way to convince managers to pay more taxes. At the end of 2012, UK Uncut targeted Starbucks for its limited payment of taxes. On 8 December 2012, UK Uncut protested in and around a number of Starbucks locations in the UK. The protests did draw a significant amount of media attention allowing UK Uncut to

explain how little taxes Starbucks has been paying on its rather large UK sales and profits. On 15 December 2012 UK Uncut moved to the digital arena. Starbucks was sponsoring the holiday ice rink at the Natural History Museum in London. As part of the sponsorship, there was a large video screen behind the ice rink. Starbucks asked people to post holiday messages on its Twitter feed and broadcast the Tweets live on the screen. As you might guess, the Tweets were dominated by complaints by UK Uncut. To make matters worse, a filter to prevent inappropriate language from appearing on the screen failed, letting a few less-than-holiday-cheer words to appear. In response to the negative coverage in traditional and digital media, Starbucks stated it would pay more taxes in 2013 and 2014. In fact, Starbucks argued it would pay more taxes in the UK than it was legally obligated to pay.

Summary

Systems theory tells us that organisations are influenced by their environments. Issues management represent a concerted effort by management to influence the environment. Issues management began as efforts to influence policy decisions but has expanded to include efforts intended to directly shape organisational decisions. Either way, stakeholders and managers are attempting to influence the organisation's operating environment to some degree. Some efforts try to improve the operating environment while seeking to make the operating environment less negative. Strategic communication is one of the driving forces in the efforts to influence public and organisational decision making. Issues management

must seek to balance the interests of all parties or risk creating a backlash if it becomes the exclusive domain of the powerful.

Issues management is intricately connected to the next chapter of crisis public relations management. Tony Jaques (2006, 2007) is the strongest advocate for the close connection between issues and crises. An issue has the potential to create a crisis for an organisation, hence issues management can be a form of crisis prevention. In addition, a crisis can bring intense public attention to an issue and precipitate an issues management effort – and create pressure for change (Coombs 2015). The interconnected nature of issues management and crisis communication management will become more evident as you read Chapter 17, 'Crisis public relations management'.

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